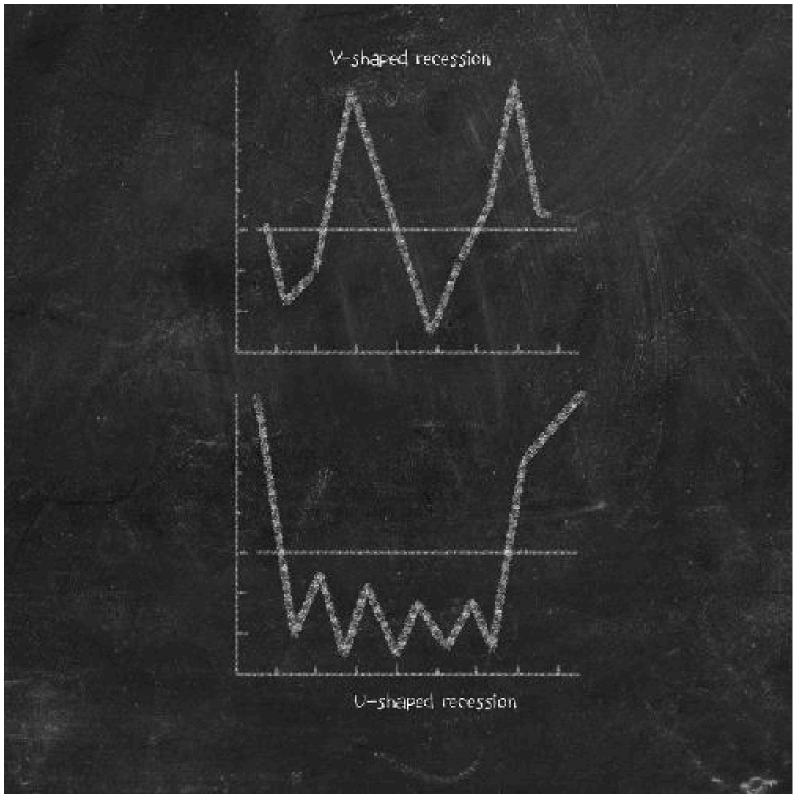
Boom, bust and depression



Over several decades, an economy demonstrates a trend rate of growth, but from year to year growth fluctuates around this trend. In some years growth is below trend, in others it is above it. As a result, the economy naturally goes through sequences of booms and busts, known as an economic cycle. The more technical term for a bust is a recession, a period of falling output over a period of months or longer. Serious recessions, known as depressions, may last for years and see sharper falls in output and larger rises in unemployment.

Economic cycles can take on different shapes: sometimes reference is made to V-shaped cycles, featuring a sharp decline and recovery, and W-shaped cycles, when the economy declines and recovers, then falls back again in a so-called ‘double-dip’ recession. Much economic thinking has gone into explaining economic cycles and into devising policies that can help to moderate them – in particular, to avoid recessions.